

time of the company's formation in 1926. (The capital surplus had in turn been created by arbitrarily writing down the capital liability of the \$7-dividend no-par preferred from \$100 to \$25.) In 1936 the amortization charge had been \$1,367,661, but in 1937 the company charged only \$585,000 therefor against income and the balance of \$744,000 against the special reserve. The result of these entries was to show fixed charges earned with a small margin in 1937 and 1938, whereas on the old basis there would have been a deficit *before* interest deduction.

In this case the lower depreciation charge may seem justified, since it applies to original cost of plant instead of to appreciated value. It would have been simpler had the company merely written down the plant account and thereafter made a single amortization charge on the lower basis. Retention of the higher plant figure on the books, subject to the special reserve, may have been motivated by a desire to justify the original heavy senior capitalization in bonds and preferred stock.

Example B: Symington-Gould Corp. In 1938 this company charged \$168,000 against income for depreciation and an additional \$165,000 against a "reserve for reduction of plant values." About the same was done in 1937. The original reserve, set up at the beginning of 1937, was about \$880,000, as against a gross plant account of \$7,500,000.

This arrangement differs from the Penn-Dixie Cement example because the reserve is proportionately much smaller, being enough to cover extra amortization charges for about five years. By this device the net plant account was only moderately reduced on the balance sheet, whereas on the other hand the depreciation charge against income was cut in half.

Example C: Climax Molybdenum Co. For 1938 this mining enterprise charged only \$20,000 for depletion against earnings (this being based on the cost of the mine) and the large sum of \$2,341,000 for depletion against "discovered increment" on the balance sheet.

Obviously, the income-account charge for depletion is meaningless for the investor. The charge against "discovered increment" is useful as an indication of remaining life of the mine—about 29 years in 1938, subject to new developments. Note that the company's charge is calculated against an appraised value of about 72 millions for the mine, whereas the average price of about 47 for the stock in 1939 is equivalent to a valuation of about 111 millions for the mine. Hence the analyst's charge for depletion based on market values would be higher than that made by the company against surplus.

It may be contended that in dealing with a 30-year life, allowance should be made for compound interest, thus reducing substantially the annual depletion